

PepsiCo, Inc. (PEP) — FY2024 MD&A

Audit Report

SEC Form 10-K Item 7 • Primary Filing Analysis & Enterprise-to-Equity Bridge

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Target CIK: 0000077476 | **Ticker:** PEP

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1. Executive Summary & Core Financial Highlights

PepsiCo, Inc. delivered flat reported top-line revenue (\$91,854M, +0.4%) in FY2024 while expanding operating margins through disciplined net pricing and enterprise-wide automation under its **pep+** framework. Effective net pricing contributed **+4.0%**, offsetting a **-2.0%** organic volume contraction and a **-1.5%** foreign exchange drag.

Core Operating Efficiency Equations:

$$\text{Gross Margin} = \frac{\text{Gross Profit}}{\text{Net Revenue}} = \frac{\$50,110 \text{ M}}{\$91,854 \text{ M}} = 54.55\% \quad (+36 \text{ bps vs. FY2023})$$

$$\text{Reported Operating Margin (GAAP)} = \frac{\text{EBIT}_{\text{GAAP}}}{\text{Net Revenue}} = \frac{\$12,887 \text{ M}}{\$91,854 \text{ M}} = 14.03\%$$

$$\text{Core Operating Margin (Non-GAAP)} = \frac{\text{EBIT}_{\text{Core}}}{\text{Net Revenue}} = \frac{\$14,698 \text{ M}}{\$91,854 \text{ M}} = 16.00\%$$

Consolidated Metric	FY2024 Reported	FY2023 Reported	YoY Change	Core / Non-GAAP	Economic Interpretation
Net Revenue	\$91,854M	\$91,471M	+0.4%	\$91,854M (+2% org)	Pricing (+4%) absorbed volume drag (-2%) & FX (-1.5%).
Gross Profit	\$50,110M	\$49,590M	+1.0%	\$50,611M Core	54.55% gross margin; supply-chain productivity savings.
Operating Profit (EBIT)	\$12,887M	\$11,986M	+7.5%	\$14,698M Core	Core operating margin reached 16.00% (+5.9% Core YoY).
Effective Tax Rate	19.4%	18.9%	+50 bps	19.8% Core	Note 5 income tax provision; international profit allocation.
Net Income (PEP)	\$9,578M	\$9,074M	+5.6%	\$11,246M Core	Core net income expanded +6.7% constant-currency.
Diluted EPS	\$6.95	\$6.56	+5.9%	\$8.16 Core	Reflects 1,378.0M weighted average diluted shares.

2. Contamination Catalog: Items Affecting Comparability

In Lab 04, a **contamination** is an honest, GAAP-compliant figure that would silently misguide forward valuation forecasts if unadjusted. In FY2024, Reported Operating Profit (\$12,887M) was depressed by **\$1,811M** of pre-tax non-recurring items:

$$\begin{aligned}
 \text{EBIT}_{\text{Core}} &= \text{EBIT}_{\text{GAAP}} + \Delta_{\text{Impairments}} + \Delta_{\text{Restructuring}} + \Delta_{\text{Recall}} + \Delta_{\text{Tax Settlement}} + \Delta_{\text{M\&A}} - \Delta_{\text{MTM}} \\
 &= \$12,887\text{ M} + \$714\text{ M} + \$698\text{ M} + \$184\text{ M} + \$218\text{ M} + \$22\text{ M} - \$25\text{ M} \\
 &= \mathbf{\$14,698\text{ M}} \quad (\text{Core Operating Profit})
 \end{aligned}$$

Contamination Item	Impact (\$M)	10-K Locator	Classification	Audit Finding & Normalization Treatment
Impairment & Other Charges	+\$714M	MD&A p. 49 / Note 4	Normalization	Non-cash intangible brand impairments (Misplaced & 19M intangible asset). Normalize out.
Restructuring & Efficiency	+\$698M	MD&A p. 49 / Note 3	Normalization	Supply-chain automation and plant reorganization (133M COGS, 551M SG&A). Normalize out.
Indirect Tax Settlement	+\$218M	MD&A p. 49 / Note 16	Normalization	Non-income indirect tax settlement in Latin America (Brazil). Non-recurring dispute resolution.
Quaker Recall Impact	+\$184M	MD&A p. 49 / QFNA	Normalization	Voluntary product recall costs and inventory write-offs (176M COGS, 8M SG&A). Normalize out.
Acquisition & Divestiture	+\$22M	MD&A p. 49 / Note 13	Normalization	Transaction advisory and integration fees. Normalize out.
Commodity Hedge Mark-to-Market	\$(25)M	MD&A p. 49 / Note 9	Normalization	Unrealized fair-value adjustments on commodity forward derivatives. Reconcile to cash.
Total Normalization Adjustment	+\$1,811M	MD&A p. 49	Non-GAAP Core	Core Operating Profit Base = \$14,698M (Base Year for DCF)

3. Unlevered Cash Generation & FCFF Architecture

The valuation model calculates cash flows generated exclusively by operating assets, prior to financing distributions.

NOPAT & Base FCFF Equations:

$$\text{NOPAT} = \text{EBIT} \times (1 - t)$$

$$\text{NOPAT}_{\text{GAAP}} = \$12,887.0 \text{ M} \times (1 - 0.194) = \mathbf{\$10,386.92 \text{ M}}$$

$$\text{NOPAT}_{\text{Core}} = \$14,698.0 \text{ M} \times (1 - 0.194) = \mathbf{\$11,846.59 \text{ M}}$$

$$\text{FCFF}_{\text{Base}} = \text{NOPAT} + \text{D\&A} - \text{CapEx}$$

$$\text{FCFF}_{\text{Base, GAAP}} = \$10,386.92 \text{ M} + \$3,160.0 \text{ M} - \$5,318.0 \text{ M} = \mathbf{\$8,228.92 \text{ M}}$$

$$\text{FCFF}_{\text{Base, Core}} = \$11,846.59 \text{ M} + \$3,160.0 \text{ M} - \$5,318.0 \text{ M} = \mathbf{\$9,688.59 \text{ M}}$$

Free Cash Flow (Filing Reconciliation, MD&A p. 53):

$$\text{Free Cash Flow (FCF)} = \text{Cash from Operations} - \text{Capital Spending} + \text{PPE Sales}$$

$$= \$12,507 \text{ M} - \$5,318 \text{ M} + \$342 \text{ M} = \mathbf{\$7,531 \text{ M}} \quad (\text{vs. } \$8,122 \text{ M in FY2023})$$

4. Enterprise-to-Equity Bridge & Per-Share Sensitivity

The enterprise-to-equity bridge bridges operating Enterprise Value (EV) to the equity value belonging to common shareholders:

$$\text{Common Equity Value} = \text{Enterprise Value} + \text{Cash \& Non-Operating Assets} - \text{Total Debt Obligations}$$

$$\text{Net Debt Claim} = \$44,306 \text{ M (Debt)} - \$8,505 \text{ M (Cash)} = \mathbf{\$35,801 \text{ M}}$$

$$\text{Common Equity Value} = \text{Enterprise Value} - \mathbf{\$35,801 \text{ M}}$$

$$\text{Per Share Value} = \frac{\text{Enterprise Value} - \$35,801 \text{ M}}{1,378.0 \text{ M Diluted Shares}}$$

Enterprise Value (EV)	Net Debt Claim	Common Equity Value	Diluted Shares	Value Per Share (\$)	Implied Core P/E (\$8.16)
\$250,000M	\$35,801M	\$214,199M	1,378.0M	\$155.44	19.0x
\$260,000M	\$35,801M	\$224,199M	1,378.0M	\$162.70	19.9x

Enterprise Value (EV)	Net Debt Claim	Common Equity Value	Diluted Shares	Value Per Share (\$)	Implied Core P/E (\$8.16)
\$270,000M (Base)	\$35,801M	\$234,199M	1,378.0M	\$169.96	20.8x
\$280,000M	\$35,801M	\$244,199M	1,378.0M	\$177.21	21.7x
\$290,000M	\$35,801M	\$254,199M	1,378.0M	\$184.47	22.6x

Committee Readiness Statement:

- **Ready:** The reconciled Enterprise-to-Equity bridge claims (Net Debt = 35,801M across 1,378M shares) and normalized core base EBIT (14,698M) are verified from SEC filings and ready to anchor Week 3 pro-forma DCF projections.
- **Unsafe:** Volume contraction in Frito-Lay North America (-2.5%) and North American Beverages (-3.5%) indicates price elasticity limits that could invalidate top-line CAGR assumptions above 4%.
- **Next Test:** Model a flat-volume bear scenario in Week 3 to test margin resilience against sticky SG&A costs.